

There were limits to which we could help, simply because the market had been quite volatile since the start of the year. The macroeconomic and policy environment was terrible, to say the least, and it did not look as though things would change any time soon.

Adding to the swings in the market was Fed chief Ben Bernanke's statement that the Fed was planning to cut down on the quantum of its monthly bond purchases that served as a monetary stimulus for the economy. Global markets went into a tizzy, as large dollops of liquidity resulting from the Fed's easy money policy had found their way around the globe and inflated asset prices. With the Fed calling time on its quantitative easing (QE) programme, investors were worried about a sudden drying up of an important source of global liquidity.

The dollar suddenly strengthened as foreign investors pulled out money from emerging markets – hurting their currencies – and put their money in US government bonds on which they were getting better yields. As the rupee weakened, FIIs started pulling money out of Indian equities, setting off a vicious cycle. The more heavily FIIs sold, the greater the pressure on the rupee, which in turn led to another round of selling as other FIIs tried to take out their money before the rupee weakened further.

To deter speculation in the rupee, RBI started announcing measures to make it costlier to borrow. Anybody who is bullish on the dollar, and by extension bearish on the rupee, needs to sell rupees first to buy those dollars. It is a rewarding trade as long as appreciation of the dollar more than offsets the cost of borrowing rupees. When the borrowing cost of the rupee increases, returns from this trade become unattractive.

The impact of this development was felt in the stock market. Many traders, including I, had been heavily long on private sector banks for the last many months since mid-2012. The bets had paid off handsomely, as the stocks kept climbing higher after periodic corrections. Within the banking sector, private sector players were the clear favourites of the market because of the superior quality of their books compared with those of their hapless public sector counterparts. For too long now, private sector banks had become a sort of one-way bet for traders; you had to be really unlucky to lose money on them.

It was a rude awakening for the bulls then, when RBI's measures pushed up the cost of wholesale deposits on which the private sector players were so heavily dependent. The hardest hit were the so-called new-generation